HOW IT WORKS: IMPORTANCE OF TIME IN THE MARKET

There once was a woman named Lauren who had the worst timing ever. She had been told to put her money into the stock market, but she was always nervous, and she decided to do it only occasionally rather than consistently throughout her life. At the beginning of 1973, Lauren took the plunge and invested $6,000 of her money into a basic index fund that tracked the S&P 500. The year 1973 turned out to be brutal, and the S&P 500 lost 48% of its value. Within a few months, Lauren had watched her investment shrink by just about half—but, very wisely, she decided to wait it out rather than sell her stock. Although she kept her original money invested in the market, she decided to stop adding more money for the time being.

Almost 15 years later, in 1987, she decided to get back on the horse. She had saved an impressive $46,000 and decided to invest it all into the same index fund. As it turned out, 1987 turned out to be an awful year for the market too, and the S&P fell 34%. Again, in a matter of months, maybe even weeks, Lauren had to watch her investment shrink significantly. But again, she did not sell. After another dozen-plus years, in the year 2000, she decided to put in more savings—this time $68,000—into the market. The next day the dot-com bubble burst, and it sent the market tumbling. Finally, in 2007, she put her last $64,000 into the market just a month before the housing market collapsed and sent the country spiraling into the Great Recession. But through all of this, Lauren held on to her stocks and did not panic sell. So how did she do?

She made a ton of money. Despite literally having the worst timing in the world, Lauren made a lot of money. After 42 years